

Amazon

A business/consultancy report

Student ID : 239061335



Table of Contents

Executive Summary.....	3
Section 1: introduction	4
1.1 Purpose of report	4
1.2 Choice of organisation.....	4
1.3 Structure of the report	4
Section 2: environmental analysis.....	4
2.1 PESTLE	4
2.2 Porters 5 forces	6
Section 3: main strategic challenges	7
3.1 Challenges identified	7
3.1.1 Challenge 1: supply chain issues	7
3.1.2 Challenge 2: competition in markets	7
3.1.3 Challenge 3: regulation challenges	7
Section 4: conclusion	8
References.....	9
Appendix	11

Executive Summary

This report provides a detailed explanation of Amazon's strategic position and the challenges that Amazon continues to face in the current situations. Well-established models PESTLE analysis and Porters 5 Forces are utilised in the analysis to give a broad and comprehensive viewpoint of the dynamics within the e-commerce and technological markets. These models help identify both internal and external factors that contribute towards the effectiveness in Amazon's operations.

The PESTLE framework discovers several trends that have an effect on Amazon. This includes rapid technological advancements in industries such as the AI in warehouses, cloud computing and e-commerce. This framework also highlights that Amazon faces more environmental pressures over the years, causing the business to focus on sustainability in its operations such as using SMRs. On the other hand, Porters 5 Forces uncovers the threat of substitutes providing unique and specialised services, alongside increased rivalry in certain markets, especially e-commerce. These are all certain risks for the company. Correspondingly, the Porters framework acknowledges that barriers of entry underline Amazon's market position.

Amazon employs a value proposition strategy, with its primary focus on providing excellent customer convenience. Amazon also follows a cost leadership approach, using its large scale operations to provide products and services at lower prices to customers. The report identifies 3 of the key strategic challenges that could threaten this type of competitive advantage: supply chain issues, market competition & regulation challenges.

In the conclusion section, the outcomes are summarised in addition to the importance of the strategic challenges on Amazon is reinforced.

Section 1: introduction

1.1 Purpose of report

The purpose of this report is to examine in detail, the strategic position of amazon, using relevant concepts. This analysis will consist methods PESTLE analysis and Porters 5 forces, in order to explore the key factors: political, technological, legal and environmental changes, as well as the competition, threats and substitutes within the industry. Specifically, the report aims to to understand and evaluate key strategic challenges that Amazon faces at the current state of the business environment.

1.2 Choice of organisation

Amazon has been chosen as my organisation for this report due to it being a global leader in the e-commerce and technology world, supported by their complex business model. Amazon's revenue streams com from its retail sales, web seriees, prime subscription program, adversiting and other ways. This shows that Amazon is an unique example of a well diversified business to evaluate on, in order to understand how multifaceted businesses maintain their growth & profitabillity in changing circumstances. Further on, Amazon's diversification strategy aligns with the reports purpose to examine their strategic position & influences on operations.

1.3 Structure of the report

The report is sectioned into several part to understand and analyse Amazon's micro and macro influences. It begins with a general idea of the strategic tools used to establish the foundation of my analysis. I further continue to apply these tools to examine the internal and external environment of Amazon. The next section identifies key factors that affect Amazon with certain risks and opportunities, followed by the evaluation of key challenges on Amazon based on Amazon's current state. At last, there's a conclusion where I summarise the report based on the findings and obstacles discovered.

Section 2: environmental analysis

This analysis of Amazon applies two key frameworks: PESTLE for macro-environment analysis and Porter's Five Forces for micro-environment analysis. This report assess specific factors for each framework, that mostly influence Amazon and its operations. For PESTLE analysis, only the political, technological, legal, and environmental factors will be focused on. Similarly, for Porter's Five Forces, only the threats of new entrants, threats of substitutes, and the degree of existing rivalry will be concentrated on.

2.1 PESTLE

PESTLE provides a "wide overview of environmental forecasts" (Whittington, 2023, p. 117) through political, economic, social, technological, legal and environmental factors. This

framework analyses external factors influencing Amazon's operation and helps develop strategies to address key threats.

A political factor impacting are trade policies and barriers, particularly the trade war between USA and China since 2018. Starting in 2018, the U.S placed tariffs on China which increased import costs for amazon. This was bad for them because amazon's products became more expensive reducing their demand of customers. More recently, Trump announced that he will plan to impose tariffs from 60% up to 100% on Chinese imports during the 2024 U.S. presidential campaign. This creates few concerns for Amazon. Firstly, high tariffs on Chinese imports means that third-party sellers may lose the Buy box if "prices exceed Amazon's expectations". On the positive side, Amazon gains an opportunity to reclaim the market share from Chinese retailer Temu, as Temu will potentially be kicked out the market from higher prices of goods (Nick Bowman, 2024).

A technological factor impacting Amazon is using AI and robotics in different areas of their operations. One such way is on deliveries by the use of AI technology Vision-Assisted Package Retrieval (VAPR). This will be used in Amazon's Rivian electric delivery vans to reduce driver effort and speed up package sorting. A positive impact of this transition is that 67% of expected efforts for drivers are reduced and more than 30 minutes per route are saved, reducing operating costs (Staff, 2024). Amazon will have quicker and more accurate package process, speeding up the delivery times. There is also employee welfare, improving job satisfaction. Amazon can hence gain a competitive edge by maintaining fast delivery services, satisfying both customers & workers.

A key legal factor impacting Amazon is regulatory scrutiny. In 2019, the European Commission launched an antitrust investigation into Amazon over monopolistic practices. Two main issues emerged: Amazon's alleged use of non-public data from third-party sellers to create cheaper competing products and its alleged manipulation of the Buy Box to favor its own brands, like Amazon Basics, over third-party sellers (Anon., 2019). Following a 2022 settlement, Amazon agreed to stop using third-party sellers' data and revise its algorithms to ensure fairer Buy Box visibility. While Amazon avoided fines, its revenue streams were affected as sellers using its logistics services lost preferential treatment. The company's brand reputation also suffered due to its perceived monopoly behavior. Ongoing regulatory pressure from the Digital Markets Act (DMA) could increase operational costs and impose stricter supervision, potentially requiring more legal staff and new data handling systems to protect sellers sensitive data.

An environmental factor impacting Amazon is their environmental sustainability commitment, shown by the launch of the Climate Pledge. The Climate Pledge is a project cofounded by Amazon and Global Optimism with the goal of reaching "net-zero carbon emissions by 2040" (The Climate Pledge, 2024), currently having signatures from 538 companies globally with the mission to "accelerate responsible change" (The Climate Pledge, n.d.). In 2023, Amazon reduced their carbon footprint by 3% and carbon intensity by 13% (The Climate Pledge, 2024), proving Amazon's sustainable growth from efficient allocation of resources. Also, Amazon is currently investing in nuclear energy to scale up and respond to changing industry trends. Amazon announced to invest in the development of Small Modular Reactors (SMRs) in order to move towards carbon-free energy and meet

their goals. SMRs are “advanced type of reactors with smaller physical footprint” (Anon., 2024). These are faster to build than traditional reactors which allows them to “come online sooner” (Anon., 2024). Moreover, Amazon’s involved in 2 SMR projects in Washington and Virginia, to help address the future energy demands as well as support local communities in both states (Data Magazine, 2024). Thus, Amazon’s benefits as they become less reliant on fossil fuels and provide more cleaner energy for local communities, enhancing their brand image. Alternatively, a concern for Amazon is that environmental costs are associated with SMRs such as waste, bringing environmental issues of waste management. Furthermore, if regulators reject this project, then Amazon’s target of achieving carbon-free emissions will be delayed, forcing Amazon to continue using non-renewable energy such as fossil fuels.

2.2 Porters 5 forces

Porters 5 forces analyses the nature of competition in an industry (Porter, 1979, p. 137) to understand the attractiveness of the industry (Whittington, 2023, p. 153) by the help of the 5 forces. These forces are threat of entrants, threat to substitutes, degree of existing rivalry, bargaining power of buyers & bargaining power of suppliers.

Threat of substitutes is a weak force for Amazon. In the e-commerce market, alternative platforms like eBay and Etsy manage to attract third-party sellers from Amazon, due sellers wanting to avoid Amazon’s commission and seller fees (Arcilla, 2024). This poses as a trouble for Amazon as there are risks of losing their profitability from third-party sellers and hence commission revenue streams. Also, Amazon continues to compete with brick-and-mortar businesses through “grocery delivery services” (Anon., n.d.) threatening its ‘Amazon Fresh’ line. This is because physical stores provide a personalised customer service whereas online stores fail to do so. Even though Amazon’s strategy of value proposition is based convenience, a selection of products and lower prices (Pereira, 2024) it can’t replicate the specialty of physical stores. eBay and Etsy also manage attract customers with their USP due to low buyer switching costs despite being a digital marketplace. Therefore, low buyer and supplier switching costs contribute towards Amazon lost attractiveness in this field, as eBay and Etsy provide specific products. Overall, substitutes are a minor but relevant threat for Amazon as they may not fully be able to differentiate themselves amongst alternative platforms despite its customer loyalty

Threat of entrants is a weak force for Amazon due to high barriers to entry in the e-commerce and cloud computing market. AWS benefits from a large network of warehouses and distribution centres, as well as bulk purchasing from suppliers for economies of scale gains. In addition, “AWS offers a broad range of services at a scale” causing difficulties for small cloud servers to compete and stay in the market. Besides, small cloud services struggle to get in both markets due to large capital requirements of cloud computing through high R&D investments, and e-commerce through high logistic costs. This benefits Amazon as they can maintain their dominant position in markets and increase their profitability further on. However, a challenge for Amazon is that there are low switching costs. If new firms offer unique things into their business such as loyalty programs or exclusive sales, customers will be less interested on Amazon, creating a strong force for new firms.

Competitive rivalry is a strong force for Amazon due to its diversification strategy. Amazon follows a diversification strategy of expanding in multiple markets including cloud computing, media and logistics. Amazon faces intense competition from main rivals Walmart and Alibaba. Currently, Amazon and Walmart dominate the e-commerce market with taking the most market share in 2023, with Amazon (37.6%) and Walmart (6.4%). Walmart is a strong competitor as it focuses on international markets and investing more in e-commerce. Walmart also integrates their physical and online presence through “physical stores, in-store pickups & returns of online purchases” (H, 2024). Amazon also faces competition from Microsoft Azure and Google Cloud as both rivals continue to expand their services with technology, threatening Amazon’s market share (Makos, 2024). As a response, Amazon launched its Nova models at lower prices than Microsoft and Google but still faces the challenge of maintaining customers as Amazon was a latecomer in this.

Section 3: main strategic challenges

3.1 Challenges identified

3.1.1 Challenge 1: supply chain issues

Amazon’s main strategic challenge is the efficient management of supply chain, especially amid the ongoing U.S-China trade war. With the uncertainty of Trump’s policy decisions on Chinese import tariffs, Amazon faces difficulty to plan strategically for the long-term. The company’s reliance on Chinese suppliers for raw materials and products sold by third-party sellers increases risks of shipping delays [reference report]. This hinders Amazon’s ability to maintain its value proposition of providing fast delivery, which may lower customer satisfaction. Overall, Amazon’s profits get affected because of delays pushing customers to go for alternatives. Arguably, Amazon has begun on using AI and robotics on warehouses and expanding its network of fulfilment centres to resolve delivery issues.

3.1.2 Challenge 2: competition in markets

Intense market competition is another key challenge for Amazon, because Amazon competes in multiple industries. In the e-commerce market, companies like Walmart and Alibaba challenge Amazon with better logistics and competitive pricing, hindering Amazon’s ability to maintain customer loyalty. Instead, Amazon has to heavily invest in technology and marketing which drives up its operational costs, reducing their profit margins. In the cloud computing market, AWS faces strong competition from Microsoft Azure and Google Cloud, as these rivals attract customers with personalised services and low prices. This forces Amazon to continuously innovate and differentiate themselves, as price wars further reduce profitability.

3.1.3 Challenge 3: regulation challenges

Amazon faces significant regulation challenges due to possible monopolistic practices, leading to increased scrutiny from regulators. Amazon facing antitrust laws and regulations results in fines and compliance issues such as higher operational costs if Amazon is suspected on monopoly behaviour again. Moreover, Amazon has less control on its

operations due to the settlement made, having less flexibility to adapt to changing circumstances. In addition to this, Amazon needs to ensure that technologies utilised like AI comply with potential regulations in order to avoid more regulatory scrutiny. This is because cutting-edge technologies like Nova models may introduce regulatory obstacles, which Amazon seeks to avoid in order to protect its brand image.

Section 4: conclusion

From my understanding, Amazon's key business strategies involving the cost leadership approach of gaining competitive advantages through severe economies of scale & lower input costs, and Amazon's value proposition have both contributed towards the strategic position's success/market dominance for Amazon. I was able to evaluate Amazon's strategic position and understand this. However, these strategies may not be the best of use now due to uncertain market conditions where supply chain delays prevent Amazon's fast delivery service, regulatory scrutiny issues increasing Amazon's costs, and lastly severe market competition making amazon spend more money on things to stay ahead of markets. Hence, it can be concluded that these 3 strategic challenges are vital for Amazon to make sure that they continue to expand/grow with the same power/competitive edge as before, and therefore it's necessary for Amazon to develop strategies at evolving situations as well as continue with innovation.

References

- Anon., 2019. *Antitrust: Commission opens investigation into possible anti-competitive conduct of Amazon*. [Online]
Available at: https://ec.europa.eu/commission/presscorner/detail/en/ip_19_4291
[Accessed December 2024].
- Anon., 2023. [Online]
Available at: <https://www.growthnavigate.com/amazon-business-model#viewer-1qsp0>
- Anon., 2023. *Amazon 2023 Annual report*, s.l.: Amazon.
- Anon., 2023. *Growth Navigate*. [Online]
Available at: <https://www.growthnavigate.com/amazon-business-model#viewer-1qsp0>
[Accessed 9 December 2024].
- Anon., 2024. [Online]
Available at: <https://datacentremagazine.com/critical-environments/a-demanding-bet-on-smrs-amazon-enlists-nuclear-energy>
- Anon., 2024. [Online]
Available at: <https://energynews.pro/en/rejection-of-amazon-project-nuclear-energy-companies-plunge-on-wall-street/>
- Anon., 2024. *2023 Amazon Sustainability Report*. [Online]
Available at:
https://www.theclimatepledge.com/content/dam/amazonclimatepledge/homepage/TCP_About_Overview_Apr-24.pdf
[Accessed December 2024].
- Anon., 2024. *Amazon*. [Online]
Available at: <https://www.aboutamazon.com/news/sustainability/amazon-nuclear-energy-smr-plans>
- Anon., 2024. *Amazon*. [Online]
Available at: <https://www.aboutamazon.com/news/sustainability/amazon-nuclear-energy-smr-plans>
[Accessed December 2024].
- Anon., 2024. *Data Magazine*. [Online]
Available at: <https://datacentremagazine.com/critical-environments/a-demanding-bet-on-smrs-amazon-enlists-nuclear-energy>
[Accessed 10 December 2024].
- Anon., 2024. *energynews*. [Online]
Available at: <https://energynews.pro/en/rejection-of-amazon-project-nuclear-energy-companies-plunge-on-wall-street/>
[Accessed 11 December 2024].
- Anon., 2024. *The Climate Pledge*. [Online]
Available at:
https://www.theclimatepledge.com/content/dam/amazonclimatepledge/homepage/1.TCP_About_Overview_Apr-24.pdf
- Anon., 2024. *The Climate Pledge*. [Online]
Available at:
https://www.theclimatepledge.com/content/dam/amazonclimatepledge/homepage/1.TCP_About_Overview_Apr-24.pdf
[Accessed 8 December 2024].
- Anon., n.d. [Online]
Available at: <https://dcf.fm/products/amzn-porters-five-forces-analysis?srsId=AfmBOopOjy8jBsXjOPHwttkgA->

aMGyEgBwLKurFKkYFmaSE_uuN1cfIR

[Accessed December 2024].

Anon., n.d. *2023 Amazon Sustainability Report*, s.l.: s.n.

Anon., n.d. *The Climate Pledge*. [Online]

Available at:

https://www.theclimatepledge.com/content/dam/amazonclimatepledge/footer/2023_05_quick_facts/Quick_Facts_EN.pdf

Anon., n.d. *The Climate Pledge*. [Online]

Available at:

https://www.theclimatepledge.com/content/dam/amazonclimatepledge/footer/2023_05_quick_facts/Quick_Facts_EN.pdf

[Accessed 9 December 2024].

Arcilla, R., 2024. *A financial economic analysis of Amazon*, s.l.: s.n.

Data Magazine, 2024. [Online]

Available at: <https://datacentremagazine.com/critical-environments/a-demanding-bet-on-smrs-amazon-enlists-nuclear-energy>

[Accessed 10 December 2024].

H, D., 2024. *divmedia*. [Online]

Available at: <https://media.wearedivisa.com/business/the-2024-retail-race-walmart-vs-amazon/>

[Accessed December 2024].

Makos, J., 2024. *Amazon SWOT Analysis (2024 Updated)*. [Online]

Available at: <https://pestleanalysis.com/amazon-swot-analysis/>

[Accessed December 2024].

Nick Bowman, 2024. *SupplyChainBrain*. [Online]

Available at: <https://www.supplychainbrain.com/articles/40635-huge-impacts-on-supply-chains-likely-during-next-trump-presidency>

[Accessed December 2024].

Pereira, D., 2024. *Amazon Business Model*. [Online]

Available at: <https://businessmodelanalyst.com/amazon-business-model/?srsltid=AfmBOoriEBOBG-QPFpdTPf75uAFMcZcxuogGF1dA970OuseHqDPFfU1E>

[Accessed 7 December 2024].

Porter, M. E., 1979. How competitive forces shape strategy.. In: s.l.:Harvard Business Review, p. 137.

Staff, A., 2024. *Amazon announces 7 new innovations that power your shopping and delivery experience*. [Online]

Available at: <https://www.aboutamazon.com/news/operations/amazon-innovations-ai-robotics-delivery-sustainability>

[Accessed December 2024].

The Climate Pledge, 2024. *2023 Amazon Sustainability Report*, s.l.: The Climate Pledge.

The Climate Pledge, 2024. *The Climate Pledge*. [Online]

Available at:

https://www.theclimatepledge.com/content/dam/amazonclimatepledge/homepage/1.TCP_About_Overview_Apr-24.pdf

[Accessed 8 December 2024].

The Climate Pledge, n.d. *Quick Facts*, s.l.: The Climate Pledge.

Whittington, R., 2023. In: *Exploring strategy: Texts and cases*. s.l.:Pearson Education, p. 117.

Whittington, R., 2023. *Exploring strategy: Texts and cases*. In: s.l.:Pearson Education, p. 117.

Appendix

I acknowledge the use of chatgpt <https://chatgpt.com/> to generate information for background research at the drafting stage of the writing process with the creation of an outline structure for this dissertation.

I acknowledge the use of chatgpt <https://chatgpt.com/> to generate information for my research questions, interview questions and/or content for the participation information sheet.

I acknowledge the use of chatgpt <https://chatgpt.com/> to identify improvements in the writing style.

I acknowledge the use of chatgpt <https://chatgpt.com/> as an information source to generate materials that were included within my final assessment in my own words.

I acknowledge the use of chatgpt <https://chatgpt.com/> to create the images included in this presentation.

Declaration

No content generated by AI technologies has been presented as my own work

Student number: 239061335

11.12.24